

**BEFORE THE FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.**

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INTERNATIONAL	LONGSHOREMEN'S	:
ASSOCIATION,		:
	Complainant,	:
		:
v.		:
		:
GATEWAY TERMINALS, LLC;		:
CHARLESTON STEVEDORING COMPANY,		:
LLC; PORTS AMERICA FLORIDA, INC.;		:
CERES MARINE TERMINALS, INC.; AND SSA		:
ATLANTIC, LLC.		:
	Respondents.	:
		:
	-----X	

FMC Docket No.: 22-12

**ANSWERING BRIEF OF
INTERNATIONAL LONGSHOREMEN'S ASSOCIATION
TO RESPONDENTS' PARTIAL MOTION TO DISMISS
AND MOTION TO STRIKE**

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INTRODUCTION

Complainant International Longshoremen's Association (ILA) submits this opposition to the partial motion to dismiss filed by Respondents, Gateway Terminals, LLC, (Gateway), Charleston Stevedoring Company, LLC, (CSC), Ports America Florida, Inc., (Ports America), SSA Atlantic, LLC, (SSA), and Ceres Marine Terminals, Inc. (Ceres) (collectively, Respondents).¹ This brief will establish that (1) the arguments advanced by Respondents are foreclosed by Administrative Law Judge Wirth's June 23, 2022 Order; (2) the ILA has alleged sufficient facts to state claims under the Shipping Act in the Amended Verified Complaint (AVC); and (3) striking monetary relief is improper at this early stage of the proceeding.

STATEMENT OF FACTS ALLEGED

On March 8, 2019, Ports America, Ceres and SSA submitted a proposed cooperative working agreement, FMC Agreement No. 2019-06783, to the Commission for review pursuant to § 40301(b) of the Act. AVC ¶ 32. Prior to this joint venture, Ports America, Ceres and SSA were all competing marine terminal operators in the Ports of Charleston and Savannah. AVC ¶¶ 15-18. The Agreement contemplated that NEWCO, a joint venture, would function as the sole marine terminal operator in both the Port of Savannah and the Port of Charleston. AVC ¶ 20-21. The Agreement stated that the Respondents would collaborate to exchange pricing and logistics information among one another to establish identical or substantially similar rates and charges offered by NEWCO in the Ports of Savannah and Charleston. AVC ¶ 22. Particularly, Sections 4.4, 4.5, 4.6, and 5.3 of the Agreement contemplated that the Respondents would share (1) logistics information; (2) accounting services; (3) negotiate labor and lease agreements on behalf of one

¹ Citations to the ILA's Amended Verified Complaint are cited as AVC ___. Citations to Respondents' brief in support of its motion to dismiss are cited as Respondents' br. ___.

another; (4) share customer pricing information; and (5) jointly acquire additional service providers to assist the joint venture further. AVC ¶¶ 56-60.

In its initial May 9, 2022 motion to dismiss, Respondents submitted an August 6, 2019 letter from the Commission's Assistant General Counsel opining that FMC Agreement No. 2019-06783 was not covered by the Shipping Act because Gateway and CSC were not marine terminal operators within the meaning of the Act.² The Respondents also submitted a September 9, 2019 letter from Respondents indicating Respondents' intent to withdraw the Agreement from review.

While the initial motion to dismiss was pending, on June 3, 2022 the ILA filed a consent motion for leave to file the AVC. On June 23, 2022, Administrative Law Judge Erin Wirth issued an Order granting the ILA's motion for leave to file the AVC and denying Respondents' motion to dismiss as moot. ALJ Wirth also ruled that the ILA had pleaded sufficient facts to state claims under Counts 1, 2, and 3 of the AVC and that the ILA's claim for reparations was immaterial for purposes of the sufficiency of the ILA's ability to state claims for relief. Ignoring ALJ Wirth's Order, Respondents filed a Partial Motion to Dismiss and Motion to Strike the ILA's prayer for reparations on July 8, 2022. The ILA now opposes those motions.

LEGAL STANDARD

The Commission evaluates motions to dismiss using Fed. R. Civ. P. 12(b) and federal case law as an interpretive guide. *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, No. 18-07, 2019 WL 5206007, at *2 (FMC Oct. 8, 2019); Fed R. Civ. P. 12(b)(6) (failure to state a claim upon which relief can be granted). Accordingly, the Commission should assume that the well-pleaded factual allegations in the AVC are true and construe those claims in the light most

² The August 6, 2019 opinion letter from Assistant General Counsel expressly states that the opinion is not a formal decision of the Commission or binding in any way upon the Commission.

favorable to the ILA. *Cargo One Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1351, 1365 (ALJ 2000). When evaluating the Respondents’ 12(b)(6) arguments, the Commission should “construe the factual allegations in the complaint in the light most favorable to [the ILA] and must grant [the ILA] the benefit of all inferences that can be derived from the facts as alleged. . .” *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3. Conforming, the Commission’s Rules and Regulations state only that a complaint provide a “clear and concise factual statement sufficient to inform each respondent with reasonable definiteness of the acts or practices alleged to be in violation of the law,” 46 C.F.R. § 502.62(a)(3)(iii); *see also* 5 C.A. Wright & A.R. Miller, *Fed. Prac. & Proc. Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

ARGUMENT

Respondents argue that the AVC “fails to meet threshold pleading standards.” Respondents Br. at p. 1. But Commission Rule 62 requires a complainant only to allege facts “sufficient to inform each respondent with reasonable definiteness” of the alleged violation of the Shipping Act. *See* 46 C.F.R. § 502.62(a)(3)(iii). This plausibility standard “simply calls for enough fact[s] to raise a reasonable expectation that discovery will reveal evidence” of the alleged violation. *Bell Atl. Corp. v. Twombly*, 550 U.S. 544, 556 (2007). A Shipping Act complaint must only contain non-conclusory allegations of fact that, if true, would demonstrate that a violation of the Shipping Act has occurred. *See id.* at 555; *see also Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009); *In re Text Messaging Antitrust Litig.*, 630 F.3d 622, 629 (7th Cir. 2010) (Posner, J.) (plausibility “need not be as great as such terms as ‘preponderance of the evidence’ connote.”).

The AVC specifically articulates why the Respondents have embarked on their unlawful

conduct. The AVC alleges in detail that:

- Respondents have engaged in a scheme to increase rates and charges for marine terminal operations within the two large ports. AVC ¶¶ 48-67;
- The scheme creates inflated rates and charges in the Southeastern United States' two largest ports. AVC ¶¶ 61-66;
- Respondents' scheme forces carriers and customers to pay the rates charged at the two largest ports in the region or travel to smaller, more distant ports. AVC ¶¶ 67-69;
- The scheme prevents meaningful negotiation by common carriers and customers with either Gateway or CSC, forcing carriers and customers to pay the rates demanded in order to utilize the two large ports. AVC ¶ 93;
- The scheme permits Gateway and CSC to unreasonably refuse to deal and negotiate for fair rates and charges paid in either port. AVC ¶ 94, 100-101;
- Ports America, SSA and Ceres were all former competitors in the relevant geographic market prior to the joint venture which created Gateway and CSC; AVC ¶¶ 23-25;
- The three former competitors' coming together eliminates competition for marine terminal operation services in the Ports of Savannah and Charleston. AVC ¶¶ 23-25, 47-68.

These factual allegations offer much more than mere “labels and conclusions.” *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3 (quoting *Iqbal*, 556 U.S. at 678). Rather, the AVC explains how Respondents sought to establish a monopoly over marine terminal operations in the Southeastern United States, and how that monopoly permits Respondents to unreasonably refuse to deal or negotiate rates with carriers and customers within the relevant market. *See* 46 U.S.C. § 41106(2), (3); *see also* 46 C.F.R. § 502.62 (a)(3)(v). The AVC gives the Respondents “clear and concise factual statement(s) sufficient to inform each respondent with reasonable

definiteness of the acts or practices alleged to be in violation of the law, and a statement showing that the complainant is entitled to relief.” 46 C.F.R. § 502.62 (a)(3)(iii).

I.

COUNTS TWO AND THREE OF THE AMENDED VERIFIED COMPLAINT ALLEGE SUFFICIENT FACTS

Respondents now move to dismiss Counts 2 and 3 because the facts alleged are supposedly not consistent with the elements set forth in *Santa Fe Discount Cruise Parking, Inc., d/b/a Ez Cruise Parking v. Board of Trustees of the Galveston Wharves*, 2018 WL 6078212, at *14 (FMC Nov. 16, 2018). However, Respondents previously raised this argument in their earlier motion papers, and ALJ Wirth rejected it in her June 23, 2022 Order. Specifically, the ALJ ruled that Counts 2 and 3 stated the basic elements of the claims:

The amended complaint. . . alleges that the cooperative working agreement by Respondents violates section 41106(2) by creating a monopoly in Charleston and Savannah that “unfairly disadvantages and prejudices those shippers and carriers who must send containers through the southeastern ports when they are compared to those similarly situated shippers and carriers who have the ability to ship containers through ports in the northeastern United States or the Gulf Coast or the West Coast.” Amended Complaint Motion at 17-18. Further, the amended complaint alleges that Respondents eliminated competition, making carriers unable to meaningfully negotiate rates, in violation of section 41106(3), which makes it unlawful for a marine terminal operator to unreasonably refuse to deal or negotiate with any person. Amended Complaint Motion at 16-17, ¶¶ 74-83.

The amended complaint raises allegations of Shipping Act violations and is sufficiently detailed regarding the behavior alleged to be violations of the Shipping Act.

Order, pp. 4-5 (emphasis added).

Since the ALJ has already ruled that Counts 2 and 3 are sufficient, Respondents’ attempt to revisit that question is futile.

Moreover, Respondents’ argument focuses only on half of the ILA’s alleged claim under

46 U.S.C. § 41106(2): namely that carriers who must ship cargo through Charleston or Savannah are disadvantaged with respect to similarly situated carriers who have the ability to ship cargo through other ports. *See* Order, pp. 4-5 (holding the AVC sufficiently plead that the cooperative working agreement “unfairly disadvantages and prejudices those shippers and carriers who must send containers through the southeastern ports when they are compared to those similarly situated shippers and carriers who have the ability to ship containers through ports in the northeastern United States or the Gulf Coast or the West Coast.”).

However, the complaint also alleges that carriers who are required to ship through Charleston and Savannah are at a disadvantage now when compared to the situation before the establishment of the joint venture. In *Ceres Marine Terminal, Inc. v. Maryland Port Administration*, 27 S.R.R. 1251 (FMC 1997) (*Ceres*), the Commission rejected the Respondents’ argument that a violation must be based upon the economic advantage of one similarly situated party over another, but rather that a violation and reparations thereunder may be based on the economic disadvantage to one party **before and after the unreasonable practices of another party began**. 27 S.R.R. at *23-24 (emphasis added); *see also General Mills, Inc. v. Hawaii*, 17 F.M.C. 1 (1973) (holding proof of competitive injury was unnecessary to support a violation of the Shipping Act).

Regardless, the AVC alleges that the monopoly by Respondents disadvantages shippers and carriers when compared to carriers who have the ability to ship their containers to the Northeast or Gulf Coasts, AVC ¶ 94, that this unequal treatment is enabled through the cooperative working agreement by Respondents which eliminated competition among marine terminal operators in the Port, AVC ¶¶ 87-88, and that the monopoly is the proximate cause for the increased rates charged to shippers and carriers who now call in the Port of Charleston and Savannah, ¶ 95.

Respondents also argue that the ILA has only alleged a general refusal by Respondents to deal and negotiate with the ocean carriers that call in the Port of Savannah, GA and Charleston, SC. This misconstrues the ILA's argument. The AVC alleges that prior to the joint ventures established in the two ports, carriers could negotiate rates for the marine terminal operation services and gate fees independently between Ceres, Ports America and SSA. AVC ¶ 90. Now that the former competitors have entered the joint venture, because there is only one marine terminal operator in either port, there cannot be competition related to the rates and charges set by Gateway or CSC by nature of Respondents' monopoly in the relevant market. AVC ¶¶ 100-101. The AVC also alleges that this monopoly permits the Respondents to unreasonably refuse to negotiate rates, gate fees and other charges with the carriers that call within the Ports.³ *See id.* The Commission should deny Respondents' motion to dismiss Counts 2 and 3 and ignore Respondents' efforts to re-litigate these issues now.

³ Recent statements in the Journal of Commerce by the South Carolina State Ports Authority and the Georgia Ports Authority (together, state port authority(ies)) evidence Respondents' efforts to operate the monopoly within the two ports. "Official notice may be taken of such matters as might be judicially noticed by the courts, or of technical or scientific facts within the general knowledge of the Commission" 46 C.F.R. § 502.226(a). A "[c]ourt may take judicial notice of newspaper articles for the fact of their publication without transforming the motion into one for summary judgment." *E.g., In re Merrill Lynch & Co., Inc. Research Reports Sec. Litig.*, 289 F. Supp. 2d 416, 425 n. 15 (S.D.N.Y. 2003). In the article, each state port authority discusses its desire to lock carriers into one of the two ports to prevent the carriers from travelling outside of Respondents' monopolized area. *See* <https://www.joc.com/port-news/us-ports/port-savannah/georgia-south-ca>. (requesting that carriers call to both ports and refrain from changing calls from one port to another, or worse, away from both). Though the state port authorities are not parties to this proceeding, Respondents have articulated the state port authorities' interests in the success of the joint ventures in either port. Respondent's Br. at p. 7. The ILA hereby incorporates this article herein by reference and requests that the Commission takes judicial notice of the article and statements therein to indicate that the statements have been made within the public realm. *E.g., Benak ex rel. All. Premier Growth Fund v. All. Capital Mgmt. L.P.*, 435 F.3d 396, 401 n. 15 (3d Cir. 2006) (noting that courts may take judicial notice of newspaper articles "to indicate what was in the public realm at the time, not whether the contents of those articles were in fact true.").

II.

THE ILA’S AMENDED VERIFIED COMPLAINT PLEADS SUFFICIENT FACTS TO SUPPORT A CLAIM THAT RESPONDENTS UNREASONABLY REFUSED TO DEAL WITH THE ILA

The majority of Respondents’ Partial Motion to Dismiss focuses on Count 4 of the AVC, which alleges that the Respondents unreasonably refused to deal with the ILA in addition to the carriers. The Respondents urge dismissal of Count 4 based on two policy arguments: (1) that the ILA cannot bring a Section 41106(3) claim against Respondents for refusing to deal with the ILA because collective bargaining agreements are exempt from the Shipping Act’s filing requirements; and (2) that the Respondents’ refusal to deal with the ILA falls within the exclusive jurisdiction of the National Labor Relations Board under the Nation Labor Relations Act. Respondents’ Br. at pp. 9, 11.

To support its policy arguments, Respondents go into great detail explaining the legislative history of the Shipping Act and submit numerous statements made to Congress by various representatives from the maritime industry, including former President of the ILA, Thomas Gleason, in an offer of proof to the Commission that Count 4 of the AVC is preempted by the exclusive jurisdiction of the NLRA. Respondents br. pp. 9-11. This evidence cannot as a matter of law support a motion for dismissal. When considering Respondents’ 12(b)(6) arguments, the Commission may only consider “the facts alleged in the complaint, documents attached to the complaint, documents incorporated by reference in, or integral to, the complaint, and matters subject to official notice[.]”) *Maier Terminals, LLC v. Port Auth. of N.Y. & N.J.*, 34 S.R.R. 35, 49 n.1 (FMC 2015). The Commission must also “construe the factual allegations in the complaint in the light most favorable to [the ILA] and must grant [the ILA] the benefit of all inferences that can

be derived from the facts as alleged. . .” *Marine Transp. Logistics, Inc.*, 2019 WL 5206007, at *3. At this stage of the proceeding, the Commission cannot weigh or otherwise consider the extraneous factual allegations in Respondents’ partial motion to dismiss. *See Hagan v. United States*, 197 F. Supp. 3d 30, 35-37 (D.D.C. 2016) (discussing the legal bar to relying on evidence other than from the face of the complaint in deciding a motion to dismiss). This extrinsic evidence submitted by Respondents in its partial motion to dismiss must be ignored and the Commission must instead focus only on the allegations within Count 4 of the AVC when considering Respondents’ partial motion to dismiss.

Even if the Commission could consider the extrinsic evidence submitted by Respondents, the Respondents ask the Commission to draw an inference from this evidence that is incorrect as a matter of law. NLRA preemption does not prevent the Commission from considering a violation of the Shipping Act. From the outset, the NLRA does not have an express preemption provision present in certain other federal statutes. And NLRA preemption applies only to state and local laws, not a federal statute such as the Shipping Act.⁴ *E.g., Bldg. & Constr. Trades Council v. Assoc. Builders & Contractors of Mass./R.I, Inc.*, 507 U.S. 218, 227 (1993). Finally, federal Circuit Courts agree that the NLRA only has exclusive jurisdiction over pure representational questions—which are not raised by Count 4 of the AVC—whereas mixed questions of representation and contract are matters of concurrent jurisdiction. *E.g., Mullins v. Kaiser Steel Corp.*, 642 F.2d 1302, 1316 (D.C.Cir. 1980) (“[F]ederal courts have independent jurisdiction to decide cases alleging the

⁴ Count 4 is not preempted by *San Diego Building Trades Council v. Garmon* or *Lodge 76, Int’l Ass’n of Machinists v. Wis. Emp. Relations Comm’n* preemption either. *Garmon* preemption applies to scrutinize any **local or state law** that could arguably conflict with employee protections arising under Sections 7 or 8 of the NLRA, 359 U.S. 236 (1959), and *Machinists* preemption applies where **local or state** regulation of the bargaining conduct of private parties is displaced by Congress’s intent to leave that bargaining conduct “to be controlled by the free play of economic forces.” 427 U.S. 132 (1976).

breach of collective bargaining agreements, even though that very breach may also be an unfair labor practice.”). Respondents argument that the NLRA preempts Count 4 of the AVC is simply incorrect.

Besides, the ILA is not asking the Commission to opine on any aspect of a collective bargaining agreement between the Respondents, to assess the validity of a collective bargaining agreement under the Shipping Act, nor to order the Respondents to bargain with the ILA concerning the working conditions in the Ports of Charleston or Savannah. Nor is the ILA asking the Commission to step into the shoes of the National Labor Relations Board in order to consider Count 4 of the AVC in the context of an unfair labor practice or other representational issue. Rather, the ILA alleged facts tending to show that Respondents have violated the plain language of Section 41106(3) of the Shipping Act and asks the Commission to rule on whether the Respondents’ cooperate working agreement and treatment of the ILA through the practices established by the agreement amount to a violation of Section 41106(3). Respondents’ straw man argument should not conceal the plain statutory relief sought by the ILA in Count 4 of the AVC.

Section 41106(3) states that a marine terminal operator may not “unreasonably refuse to deal or negotiate” with respect to another person. 46 U.S.C. § 41106(3). 46 C.F.R. § 525.1 of the Commission’s Regulations, as amended on April 18, 2022, drafted to assist the Commission in preventing violations of Section 41106 of the Shipping Act, defines persons within the meaning of Section 41106(3) as “individuals, firms, partnerships, associations, companies, corporations, joint stock associations, trustees, receivers, agents, assignees and personal representatives.” *Id.* Thus, the ILA is a “person” within the term’s statutory meaning and the Respondents’ refusal to deal with the ILA in the Ports of Charleston and Savannah as outlined in Count 4 of the AVC provides a basis for a violation of § 41106(3) as it relates to the ILA.

A violation of Section 41106(3) of the Shipping Act “requires a two-part inquiry: whether [Respondents] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” See *Port Elizabeth Terminal & Warehouse Corp. v. Port Auth. of N.Y. & N.J.*, 17-07, 2019 WL 1763071 (F.M.C. 2019) (quoting *Canaveral Port Auth.*, 29 S.R.R. 1436, 1448 (F.M.C. 2003)). The Commission has consistently held that a marine terminal operator’s refusal to consider a proposal or offer to negotiate by another person without articulating a reasonable reason for the operator’s refusal constitutes a refusal to deal or negotiate. *Canaveral Port Auth.*, 02-02, 2002 WL 418056 (F.M.C. 2002) (operator unreasonably refused to deal or negotiate with tug boat operator by refusing to consider tug boat operator’s franchise application which in effect preserved a monopoly on tug boat operations within the area).

“[I]n determining reasonableness, the agency will look to whether a marine terminal operator gave actual consideration of an entity’s efforts at negotiation.” *Canaveral Port Auth.* 02-02, 2003 WL 723336, at *18 (F.M.C. 2003). Blanket refusal to consider the negotiation efforts of another person is grounds for a Section 41106(3) violation. See *Lisa Anne Cornell v. Princess Cruise Lines, Ltd.*, No. 13-02, 2013 WL 9808684 (F.M.C. 2013) (plaintiff established Section 10(b)(10) violation by common carrier because carrier could not articulate transportation-related reason why married couple could not utilize carrier’s cruise services).

Above all else, Section 41106(3) prohibits a marine terminal operator from “shutting out” any person for reasons having no relation to legitimate transportation-related factors. *New Orleans Stevedoring Co. v. Bd of Commissioners of the Port of New Orleans*, 29 S.R.R. 345, 351 (ALJ 2001), *aff’d*, 29 S.R.R. 1066, 1070 (F.M.C. 2002). The Commission’s *Lisa Anne Cornell* decision is particularly demonstrative of this prohibition. 2013 WL 9808684. There, the Commission found that a cruise operator violated Section 41106(3) of the Shipping Act, then Section 10(b)(10),

by refusing to let a married couple sail cruises on the operator's vessels after the couple pursued a successful state law claim against the operator. *Id.* at *3. Because the operator was unable to articulate a transportation-related reason for its refusal to permit the couple to cruise on its ships, the operator violated the Shipping Act. *Id.* at *25-26. Thus, to prevail on a refusal to deal claim, a complainant must simply allege that a party refused to deal or negotiate and that the complainant was unreasonably shut out from negotiations.

Fed. R. Civ. P. 12(b)(6) and Commission Rule 62 require a complainant only to allege facts "sufficient to inform each respondent with reasonable definiteness" of the alleged violation of the Shipping Act. *See* 46 C.F.R. § 502.62(a)(3)(iii). Once a person within the meaning of Section 41106(3)—the ILA—has alleged that the Commission has jurisdiction over the respondent, *see* AVC ¶¶ 106-108, the burden then shifts to the respondent to show a transportation-related reason for that refusal. *Lisa Anne Cornell*, 2013 WL 9808684, at *42-43. The AVC alleges that prior to the joint venture, the Respondents would consider the ILA's proposals concerning, among other things, work start and end times, staffing for work on certain vessels, and work equipment orders, ¶ 106, that the joint ventures are unreasonable because they were formed to eliminate competition in the relevant market, ¶ 107, and that after the joint ventures became effective, the Respondents no longer considered the ILA's efforts to negotiate in either port. ¶ 108. Count 4 of the AVC clearly alleges the Respondents have shut out the ILA—a person within the meaning of Section 41106(3)—from negotiations on a number of proposals and Respondents cannot articulate a reasonable, non-discriminatory, transportation related justification for these refusals. Count 4 of the AVC satisfies the pleading threshold set by Fed R. Civ. P. 12(b)(6) and Commission Rule 62. Respondents' efforts to pollute the pleading standard with labor policy concerns must be ignored.

III.

THE RESPONDENTS' MOTION TO STRIKE MUST ALSO BE DENIED

Finally, the Respondents urge the Commission to strike the ILA's prayer for reparations in the AVC. *See* AVC p. 21. The Commission's Rules do not specify criteria for striking relief sought by a complainant, but Commission Rule 12 provides that "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound administrative practice." 46 C.F.R. § 502.12. Federal Rule of Civil Procedure Rule 12(f) provides that "[t]he court may strike from a pleading an insufficient defense or any redundant, immaterial, impertinent, or scandalous matter. . . ." Fed. R. Civ. P. 12(f). "As with motions to dismiss, when ruling on a motion to strike, the Court takes the plaintiffs allegations as true and must liberally construe the complaint in the light most favorable to the plaintiff." *Kochlani v. General Motors, LLC*, No. CV 20-7894 PSG (JPRx), 2021 WL 8531593 (C.D. Cal. Sept. 13, 2021) (denying motion to strike class certification prior to discovery).

Courts interpreting Rule 12(f) grant relief only in special circumstances and advise that motions to strike monetary or similar relief should be granted only "[w]here the damages sought in a prayer for relief are not recoverable as a matter of law. . . ." *Stearns v. Select Comfort Retail Corp.*, 763 F. Supp. 2d 1128 (N.D. Cal. 2010) (citations omitted). "Courts often regard motions to strike with disfavor, since such motions are frequently used as stalling tactics and since pleadings are of limited importance in federal practice." *Platte Anchor Bolt, Inc. v. IHI, Inc.*, 352 F. Supp. 2d 1048, 1057 (N.D. Cal. 2004) ("Some courts also refuse to grant Rule 12(f) motions unless prejudice would result to the moving party from denial of the

motion.”). It follows that “a motion to strike will not be granted if the insufficiency of the [request for relief] is not clearly apparent, or if it raises factual issues that should be determined on a hearing on the merits.” *Kubanyi v. Golden Valley Electric Association*, Case No. 4:04-cv-0026-RRB, 2007 WL 9697873, at *3 (D. Alas. May 25, 2007) (quoting 5C Wright & Miller, *Federal Practice and Procedure*, § 1381, at 427-28 (3d ed.)).

With these principles in mind, Respondents’ motion to strike must be denied. ALJ Wirth already opined in the June 23, 2022 Order that the ILA did not need to establish harm to itself at this early stage in the proceeding to maintain its claim for reparations. Order, p. 5. The extent of the harm suffered by the ILA as a result of the Respondents’ violations of the Shipping Act cannot be clearly ascertained at this early stage where discovery has yet to begin. Order, p. 5. Likewise, ALJ Wirth ruled that the ILA had sufficiently plead its Counts 2 and 3 within the AVC. Order, p. 4.

“If the [Commission] is in doubt as to whether the challenged matter may raise an issue of fact or law, the motion to strike should be denied, leaving the assessment of the sufficiency of the allegations for adjudication on the merits after proper development of the factual nature of the claims through discovery.” *Slay v. CVS Caremark Corp.*, 2015 WL 2081642 (E.D. Cali. May 4, 2015) (denying motion to strike prayer for injunctive relief at motion to dismiss stage). The Commission should wait to foreclose any relief sought by the ILA in its AVC until discovery in this proceeding demonstrates that the ILA is not entitled to reparations as a matter of law.

CONCLUSION

For the foregoing reasons, the Commission should deny Respondents' Partial Motion to Dismiss and Motion to Strike the ILA's prayer for reparations.

Dated: July 29, 2022
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CERTIFICATE OF SERVICE

I hereby certify that the foregoing pleading was provided to Respondents' counsel of record by email on this 29th day of July 2022.

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Dated: July 29, 2022
New York, New York

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